Daiwa Capital Markets Hong Kong Limited

news

12 November 2026

MEMO

E Ink (8069 TT)

Share price (12 Nov): **TWD140.00** 12-mth rating: **Hold (3)** **Information Technology: Taiwan**

3Q26 investor call key takeaways

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Summary: E Ink held an investor call today, 12 November, after 3Q26 results were announced on 6 November (see our *memo*). Overall, its 3Q26 gross margin of 52.2% (vs. 58.7% in 2Q26 and 56.0% in 3Q25) missed our estimate of 59.0% and the consensus estimate of 58.2%, mainly due to less revenue scale and unfavourable product mix within consumer electronics segment (ie, more module, less film). E Ink also talked about their cooperation with Taiflex (8039 TT, not rated) on PTFE material and management is optimistic towards the development progress.

We have a Hold (3) rating on E Ink with a 12-month TP of TWD165, based on a target PER of 14x applied to our 1-year forward EPS forecast. For more information on the company, please refer to our latest flash, *Downgrading: weaker-than-expected order visibility*, on 13 August 2026.

What's the impact

- **3Q26 results recap.** E Ink's 3Q26 revenue of TWD9,936m (-2.7% QoQ, -4.6% YoY) was roughly in line with our and the Bloomberg consensus estimates. Its 3Q26 gross margin of 52.2% (vs. 58.7% in 2Q26 and 56.0% in 3Q25) missed our estimate of 59.0% and the consensus estimate of 58.2%, mainly due to less revenue scale and unfavourable product mix within its consumer electronics segment (ie, more module, less film). Its 3Q26 net profit of TWD2,652m (-29.0% QoQ, -37.3% YoY) beat our and consensus estimates by 21.6% and 15.2%, respectively. Its 3Q26 EPS came in at TWD2.29. Note E Ink's 3Q26 product mix was: consumer electronics 54.6% (-9.4% YoY), IoT (including ESL and large signage) 45.4% (+1.8% YoY).
- **2026 and 2027 guidance.** E Ink slightly revised down its 2026 full-year guidance: total revenue to grow by 9% YoY (down from previous 10-15%); consumer electronics to decline by 15% YoY, negatively affected by the memory price hikes; IoT to grow by 35%+ YoY; and signage to account for high-single-digit % of total revenue. For 2027, the company is still positive on the growth of the IoT segment, but consumer the consumer electronics segment will depend on how the new generations of end products perform.
- **Cooperation with Taiflex (8039 TT, not rated) on PTFE.** E Ink has announced it will work with Taiflex to co-develop the next generation of CCL material – PTFE. The two companies will combine Taiflex's expertise in CCL and high-end electronics materials, and E Ink's capabilities in mass production, surface treatment and roll-to-roll processing. E Ink expects to see preliminary results by 2027 and significant revenue contribution from 2028.
- **Capacity expansion and future trends.** E Ink's H5 plant is performing on track and its utilisation rate and yield rate are improving. The H6 plant has also started to install equipment in November 2026, and is scheduled for a trial run in 2027 and contribution to revenue in 2028. The company expects both plants to have capability to manufacture large signage. Combining the trend that E Ink's customers and the retailers are now planning to implement more larger signages (mid-sized, 10-15 inches, vs. 2 inches for ESL) as retail advertisement, the company is confident that signage will replace ESL to become the fastest growing segment.

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What we recommend

We have a Hold (3) rating on E Ink with a 12-month TP of TWD165, based on a target PER of 14x applied to our 1-year forward EPS forecast. Based on our 2026/27E EPS, the stock is currently trading at PERs of 12.3x/11.3x, vs. its past-3-year trading range of 11-32x. Key upside/downside risks: 1) stronger-/weaker-than-expected ESL demand, 2) stronger-/weaker-than-expected eReader sales on macroeconomic headwinds, and 3) progress on capacity expansion being early/delayed.

In the interests of timeliness, this document has not been edited.

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Rating	Percentage of total
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Hold**	19.58%
Sell***	6.46%

Source: Daiwa

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